

TABLE 7.3 Valuation Characteristics of Contrarian Value and Glamour Portfolios (1963 to 1990)

Characteristics of Portfolios Formed Using Price-to-Earnings and Sales Growth		
	Glamour	Contrarian Value
Price-to-Earnings Ratio	19.6×	6.5×
Price-to-Cash Flow Ratio	10.8×	3.7×
Price-to-Sales Ratio	0.7×	0.2×
Price-to-Operating Earnings Ratio	6.3×	2.3×

Characteristics of Portfolios Formed Using Price-to-Book Value and Sales Growth		
	Glamour	Contrarian Value
Price-to-Earnings Ratio	17.2×	38.5×
Price-to-Cash Flow Ratio	9.5×	6.3×
Price-to-Sales Ratio	0.7×	0.2×
Price-to-Operating Earnings Ratio	5.7×	3.2×

Characteristics of Portfolios Formed Using Price-to-Cash Flow and Sales Growth		
	Glamour	Contrarian Value
Price-to-Earnings Ratio	18.5×	8.8×
Price-to-Cash Flow Ratio	12.5×	3.6×
Price-to-Sales Ratio	0.9×	0.2×
Price-to-Operating Earnings Ratio	7.2×	2.2×

in those portfolios were so weak. These results support the earlier findings of De Bondt and Thaler, who found that the Loser portfolios—those with three years of falling earnings—outperformed the Winner portfolios—those with the greatest gains in earnings over three years. Lakonishok, Shleifer, and Vishny's findings suggest that a contrarian strategy—one that actively seeks out undervalued companies with poor historical performance—will outperform overvalued companies with excellent historical performance. The natural question is whether poorly performing value stocks in the Contrarian Value portfolios outperform value stocks with good historical performance, described here as High-Growth Value. Table 7.4 sets out the results.

Table 7.4 shows that the Contrarian Value portfolios comprehensively outperformed the comparable High-Growth Value portfolios, although note that the High-Growth Value portfolios also outperformed the comparable Glamour portfolios in Table 7.1. Table 7.5 shows that the High-Growth Value portfolios contained stocks that were considerably more attractive